

Table 73.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
5 (breakeven)	150 or 26%	42 or 24%	81 or 29%
10	63 or 37%	25 or 38%	59 or 51%
15	69 or 48%	18 or 48%	43 or 66%
20	32 or 54%	8 or 53%	18 or 73%
25	27 or 58%	16 or 62%	18 or 79%
30	25 or 63%	12 or 69%	24 or 88%
35	26 or 67%	8 or 73%	15 or 93%
50	53 or 76%	19 or 84%	13 or 98%
75	59 or 86%	15 or 93%	6 or 100%
Over 75	79 or 100%	13 or 100%	0 or 100%

Table 73.4 shows breakout-related statistics.

Breakout direction. The falling wedge favors upward breakouts as the table shows, but they occur most often in bull markets.

Yearly position, performance. The numbers for this row have little consistency. Upward breakouts suggest you avoid those within a third of the yearly high. Downward breakouts dislike the middle third of the yearly price range.

Apex distance. The median breakout occurs between 58% and 62% of the way to the apex. As I mentioned earlier, the most powerful upward breakouts in bull markets (only) occur between 50% and 80% of the way to the apex. Those falling within that range have rises that average 42%. I measured time using calendar days, not trading days, by the way.